Why would I pay a builder more than I'd pay investors?

On paper it sounds wrong. Here's why I'd still do it.

Suf Zen · Realization

Investor money doesn't care when you finish

A builder who leaves part of his margin in the project as equity stops thinking in change orders. He can't accept the usual delay excuses, because he shares the outcome.

> **I'd lose your dedication and your commitment.**

A strong builder can bring a bigger loan

If the bank finances more of the works because a strong builder is in the deal, I'm more than happy to pay him for that difference, openly.

When he shares the outcome, delay is his problem too

Builder as supplier	Builder as partner
Margin Paid out in full	**Margin** Part left in as equity
Focus Change orders	**Focus** The finish date
Delay Something he explains	**Delay** Something he shares

> **Every extra seat at the table is paid from a thin slice, so model what his share costs every other investor.**

Partner or not, never pay in advance

Labour after each stage, materials on order. When a bank funds the works, the contract follows the bank's milestones, so your equity doesn't end up filling the hole.

Milestones, not months.

Pay openly for commitment, and never for work that hasn't been done yet.

Would you give your builder equity? Tell me why, or why not.